

“stories” that aren't grounded in facts:³

- Don't swim after eating.
- Shaving thickens hair.
- The Great Wall of China is visible from space.
- Toilets flush backward on the other side of the equator.

People, in general, are wired to try to understand their world. When we lack a cogent interpretation of events, this generates cognitive strain, and we struggle to make sense of things. Humans thus crave a coherent narrative; the human mind likes to resolve conflicts that are not understood or cause cognitive dissonance and create disharmony. In other words, humans like *stories* to explain things!

For instance, loathing ambiguity, the mind is predisposed, after the fact, to invent stories that fit unexpected outcomes. Once we have created a story that seems to fit our specific circumstances particularly well, then we tend to believe that story, and it becomes our reality. The problem is that our stories sometimes simply do not reflect reality.

Clearly, we can sometimes be swayed by a good story, despite a lack of evidence or even contravening evidence. In the investing context, we see a similar phenomenon: story-based investing is everywhere, but evidence-based investing is scarce. But, why? One would expect that financial decisions, which can have a large influence on our well-being, would be grounded in evidence and not vulnerable to our innate belief in storytelling. This would seem not to be the case. Throughout the balance of this chapter, we will explore story bias and how this bias can be reflected in the financial marketplace.

Story-Based Investing

The three of us all have young daughters who always ask, “Daddy, how did we get these presents under the Christmas tree?” We respond with, “Oh, Santa dropped them off.” Our daughters then say, “How did Santa bring them here?” We reply, “On his sleigh, guided by his reindeers. Of course.” Our daughters consider this, and then respond, “Oh, yeah, that makes sense.